



MASTER OF BUSINESS ADMINISTRATION (EVENING)
End of Semester Exams

MBA 8101: FINANCIAL AND MANAGERIAL ACCOUNTING

Date: November 2023

Time: 3 Hours

INSTRUCTIONS: This paper contains two sections, Section A and Section B, Section A has one Compulsory question containing 50 marks and Section B has three questions of 25 marks each. Attempt any TWO.

SECTION A: This Question is compulsory

QUESTION ONE (50 Marks)

Use the case provided to answer this question.

(a) Summarize the main business of the organization (**4 Marks**).

(b) Highlight Key incomes, expenses, assets, liabilities and capital of the company for 2022 and 2023. (Provide a maximum of three items based on material amounts). Suggest possible reasons for the changes in the figures from one period to the next. (**20 Marks**)

Use a table with the following headings

Item	2022 (sh.m)	2023 (Sh.m)	Change +-Sh.m	Possible reason(s) for change
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(c) The Company is planning to import 5,000 units of Huawei Tablet M5 Youth Edition (10-Inch) LTE from China. The following are the anticipated costs of the transactions.

- 1.The purchase price is Yuan 10 million for the entire consignment. The company will get a trade discount of 5% from the supplier. 1 Chinese Yuan is equivalent to sh.20.
2. The company will pay for freight and insurance costs of sh.1,000, 000.
3. Port clearance charges and non-refundable taxes amount to sh.1,500,000
4. Transport costs to the various phone shops are estimated to average about sh.1,000 per unit.
5. Offloading costs are also estimated at sh.500 per unit.
6. The average storage costs per unit before sale is sh.500.

Required

- (i) Compute the average cost per unit for the purpose of pricing (6 Marks)
- (ii) If the company wishes to make a profit margin of 20% and charge VAT of 16% of the selling price on each tablet, estimate the final price inclusive of VAT. (4 Marks)

(d) Using the available data identify FIVE non-financial measures of performance in the following areas for the company:

- (i) Sales and Marketing (5 Marks)
- (ii) People and their working environment -Human Resource (5 Marks)

QUESTION TWO (25 Marks)

The management of Petals Limited is concerned about the declining performance of the business over the past three years. The financial statements of the company are summarized as follows:

Statement of profit or loss for the year

	2020	2021	2022
	Shm	Shm	Shm
Sales	15,926	17,802	15,874
Cost of sales	(13,630)	(14,905)	(13,126)
Gross Profit	2,296	2,897	2,747
Other incomes	466	325	184
Operating costs	(4,021)	(3,558)	(2,765)
Finance cost	(49)	(156)	(6)
Profit/Loss before tax	(1,309)	(492)	160
Income tax expense	(89)	99	(61)
Net profit/Loss	(1,398)	(393)	99

Statement of financial position as at 31 December

	2020	2021	2022
	sh.m	sh.m	sh.m
Non Current assets			
Property, Plant & Equip.	2,963	2,741	2,293
Prepaid operating lease	323	550	420
Intangible assets	421	433	39
	3,707	3,724	2,752
Current assets			
Inventories	1,882	2,528	1,708
Trade & Other receivables	735	358	292
Tax Recoverable	62	62	112
Cash at bank & in hand	145	201	216
	2,823	3,149	2,328
Total Assets	6,530	6,874	5,080

Equity

Share capital	600	600	600
Share Premium	259	259	259
Revaluation Reserves	357	204	211
Retained earnings	(164)	341	795
Total equity	1,052	1,404	1,865

Current liabilities

Trade & Other payables	4,053	3,610	2,542
Borrowings	1,424	1,860	673
	5,478	5,470	3,215
Total Equity & Liabilities	6,530	6,874	5,080

Required:

(a) Compute the following ratios for the three years-

- (i) Current ratio
- (ii) Acid test ratio
- (iii) Return on Investment
- (iv) Net Profit Margin
- (v) Debt ratio
- (vi) Debt Equity ratio
- (vii) Non -current assets Turnover
- (viii) Stock Turnover (16 marks)

(b) Using the ratios computed in (a) above, comment on the performance of the business over the three years (**4 marks**).

(c) Big Data /Data analytics is important and is widely used in accounting and finance to generate information that is used for conducting the analysis such as done in (a) and (b).

Required

- (i) Define the term 'Big Data' (**1 Mark**)
- (ii) Use suitable example distinguish between predictive and prescriptive analytics as used in accounting and finance (**4 marks**)

QUESTION THREE (25 Marks)

(a) Highlight THREE factors that will likely contribute to the successful implementation of the budget (3 Marks).

(b) Medicare Limited is a group of companies that manufactures medicines and other healthcare equipment. Sypharm, one of the subsidiaries makes a long-lasting type of Insulin called Remalin. Sypharm is preparing the budget for the first quarter of 2024 October to March 2024. The following information is relevant:

1. The budgeted sales is 200, 000 units selling at a price of sh.4, 000 per unit. The total estimated selling costs in that quarter amount to sh.80, 000,000 and distribution costs at sh.40, 000,000.

2. The company estimates that opening inventory of finished goods at the beginning of the quarter to be 80,000 units (Costing sh.2, 900 per unit). Finished goods inventory level should reduce to 40,000 units by end of March.

3. For the production of one unit of Remalin, the following two Materials of inputs are used:

Material	Number of mls	Cost per ml
		Sh.
Isophane	10	40
Phenol	6	20

4. Production of one unit of Remalin requires the following labour hours:

Department	Hour per unit	Labour rate per hour
		Sh.
Analytical	0.1	16,000
Synthesis	0.1	7,200

5. Other production overheads are expected to amount to sh.38,400,000.

6. The store expects to have 320,000 mls and 192,000 mls of Isophane and Phenol respectively at the beginning of October 2023. This will fall to 240,000 mls and 144,000 mls respectively by end of December 2023.

7. These are estimated at sh.50,000, 000.

Required:

Prepare a budgeted statement of statement of profit or loss for the company for the 1st Quarter of 2024 (12 Marks).

(b) Medichair, another subsidiary of Medicare, manufactures and sells two models of wheelchairs, HFG 1003 and HFG 1004.

The details of the two models are given as follows:

	HFG 1003	HFG 1004
Sales volumes Ratio (2:1)	1,200 units	600 units
Selling Price Per machine	Sh.30,000	Sh.20,000
Unit Variable Cost	Sh.15,000	Sh.11,000
Allocated Fixed Costs	Sh.9,000,000	Sh.2,700,000

Other fixed costs not allocated to the two models amount to sh.3, 900,000.

Required:

- (i) Compute the Break-even points in units for both models **(4 Marks)**.
- (ii) Prepare a statement of profit or loss confirming the break-even point from your computation above **(6 Marks)**.

QUESTION FOUR (25 Marks)

(a) Spiral Bank, is facing financial occasioned by the adverse economic environment. The bank is reviewing its internal results and the management is concerned about the losses reported by five of its branches. A summary of the profit and loss statements for the year ended 31 December 2022 for each branch is given as follows:

Statement of Profit or loss	Mombasa	Kisumu	Eldoret	Naivasha	Machakos
	Sh.m	Sh.m	Sh.m	Sh.m	Sh.m
Interest Income	800	700	1200	900	450
Interest Expense	<u>(200)</u>	<u>(150)</u>	<u>(350)</u>	<u>(180)</u>	<u>(100)</u>
Net Interest income	600	550	850	720	350
Other incomes	<u>100</u>	<u>120</u>	<u>100</u>	<u>100</u>	<u>80</u>
	700	670	950	820	430
Operating expenses	<u>(600)</u>	<u>(550)</u>	<u>(900)</u>	<u>(820)</u>	<u>(330)</u>
Other overheads allocated	<u>(200)</u>	<u>(190)</u>	<u>(300)</u>	<u>(200)</u>	<u>(150)</u>
Operating loss before tax	<u>(100)</u>	<u>(70)</u>	<u>(250)</u>	<u>(200)</u>	<u>(50)</u>

If the branches were to close, then it is estimated that Spiral would still make 25% of the incomes reported by the branches as a small proportion of the customers in the branches will be absorbed by the other branches. Meanwhile 20% of the operating costs of the branches will also be absorbed by other branches because of staff transfers.

Advice on whether Spiral should close these branches and any two factors should be considered in making the decision. **(10 marks)**

(b) Lean thinking is defined as the goal of reducing or eliminating wastes throughout the value chain of an organization, focusing only on the activities that create value for the customer.

Required

Using a suitable example, discuss the FIVE potential steps that aid in this process **(10 Marks)**.

(c) FAR softwares (also called application packages) are a computer programs that support many aspects of the financial reporting and management accounting.

Required

Highlight FIVE roles of FAR softwares **(5 Marks)**